

SK Innovation

W0.9tn SK China stake sale to fund growing AI energy demand? ROE on track to reach 9yr high on lubricant/refining strength; stay OW

We see SK Inno's reported W0.9tn SK China stake sale as further affirmation of the company's commitment to continue downsizing its non-core assets and free up cash for shareholder returns and AI-centric growth. Local media cited the potential for SK Innovation to participate in the power infrastructure buildout linked to the Honam semiconductor fab ([link](#)), though this remains unverified by the company. SK Inno has underperformed Asia energy peers over the past five years (Figure 6) due to an EV battery drag, and we see potential for the company to catch up after its battery "rightsizing" and pivot to become SK group's AI energy provider. We forecast strong 2Q OP of W1.8tn (BBGe W1tn), with SK Inno likely delivering the highest NP to shareholders among the K-battery trio in FY26-27. Reiterate OW.

- What's new:** According to local media reports on 21 July, SK Inno will receive W0.9tn from the sale of its 20% stake in SK China. SK China is the entity overseeing SK Group's business in China, comprising mostly non-core operations including real estate, logistics and venture investments. SK Inno and its subsidiaries currently hold a total 33% stake in SK China (SK Inno 21.7%, SK Geocentric 9.5%, SK Energy 1%, SK On 1%), while SK Telecom/SK Inc hold 27%/28%. Post-transaction, SK Inno+subsidiary's combined stake in the entity will reportedly decline to ~10%, while the effective stake for the remaining SK sister companies will increase. Capex needed to build the Honam Semi complex power infrastructure is quoted as a likely motivation behind the stake disposal.
- Liquidity boost for Honam Semi complex power capex need?** Korea's President Lee unveiled the Honam Semiconductor Complex ambition on 29 June, targeting >W800tn in investments by 2030 to build a chip manufacturing hub in the southwestern city. The project is part of the the Won-quadrillion-level "Great Leap Forward: 3 Mega Projects" national investment initiative. Initial [industry estimates](#) suggest that the Hoham hub alone will require >6GW of power, while Reuters estimates that the four planned fabs will eventually consume 70-80% of the electricity consumed in the southwestern provinces. SKI has been serving as the energy infrastructure solution provider to SK Group's "AI Full Stack" ambition, as highlighted by the Chairman's earlier comments, saying "Companies that possess a full stack—from the memory needed in the AI era to data center infrastructure and the energy and electrification capabilities to support it—are rare." We see SK as uniquely positioned to capture growing market share in the domestic energy solution market, with a holistic offering across gas power gen (SK E&S), SK On (ESS battery) and SMR innovation (deep dive on SK Inno's [Terrapower stake](#) here).
- SKI's growing traction as energy solution provider for SK's AI initiative:** Prior to the Honam mega project launch, SKI and SK Telecom (SKT) had already partnered with AWS to build a 103MW AI Data Center (AIDC) in Ulsan (60,000 GPUs), with ultimate ambitions to scale to 1GW. This campus will be strategically co-located with SKI's LNG combined-cycle power plant. Internationally, SKI has signed an MOU with Vietnam's Nghe An province to

Overweight

096770.KS, 096770 KS

Price (22 Jul 26): W119,600

Price Target (Jun-27): W170,000

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develop an AIDC linked to the Quynh Lap LNG Power Project (developed by SKI), replicating the “power plant + data center” model offshore as the first overseas expansion of the SK consortium’s “Korean-style AI full-stack” approach. For next-generation AIDC technologies, SK Enmove and SK Telecom are collaborating to deploy Precision Liquid Cooling using SK Enmove’s thermal fluid at SKT’s AI Data Center Testbed. We also see potential for SK On to supply ESS to SKT’s AIDCs; SK On looks set to start LFP battery production in 2H26 and has already won >1.7 Gwh of domestic ESS orders and a 7.2 Gwh US ESS contract.

- **Portfolio re-balancing on track; ROE to reach nine-year high in FY26E.** As noted in our recent [initiation](#) report, we see an attractive risk/reward in SK Inno following its portfolio optimization, stabilized balance sheet and expected record-high earnings from lubricants/refining in 2026. We continue to see SK printing the highest NP among the Korean battery trio in 2026E/27E and reaching a nine-year-high ROE of 11% for this year vs. loss-making in FY25. Reiterate OW.

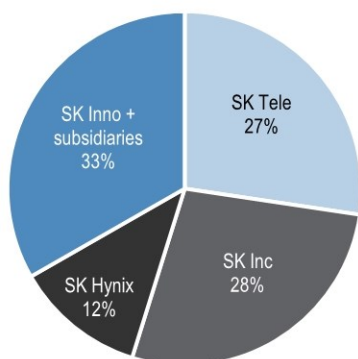
Figure 1: Korea energy earnings preview

Won bn

Company	Result	JPM OP	OP % q/q	OP % y/y	Cons OP	Cons NP	JPM v Cons OP*	Interim DPS
LGES	30 July	113	155%	-77%	177	(5)	-36%	
S-Oil	3-7 Aug	1,077	-13%	413%	911	535	18%	1,400
LG Chem	31 July	315	733%	-34%	410	131	-23%	
HSC	29 July	203	119%	99%	187	72	8%	
Kumho	Early Aug	96	61%	47%	122	148	-22%	
Lotte Chem	7 Aug	110	50%	145%	94	14	17%	1,000
SK Inno	30 July	1,797	-17%	530%	1,003	586	79%	Potential

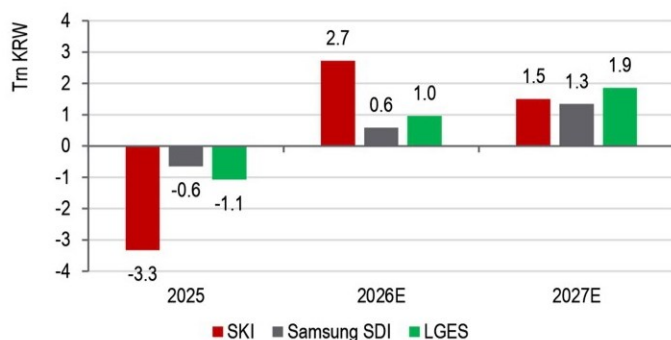
Source: Company data, J.P. Morgan estimates.

Figure 2: SK China shareholding mix (%)



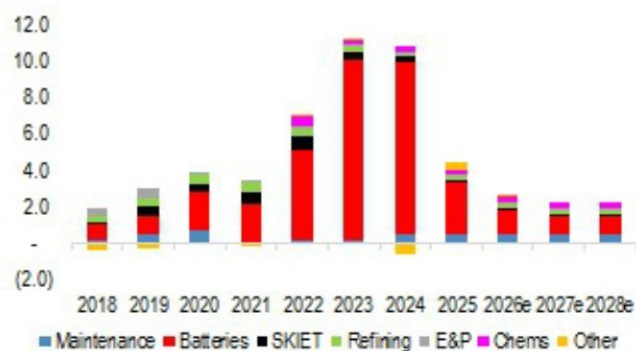
Source: Company data, media reports.

Figure 4: FY25-27E NP of K-battery names (W tn)



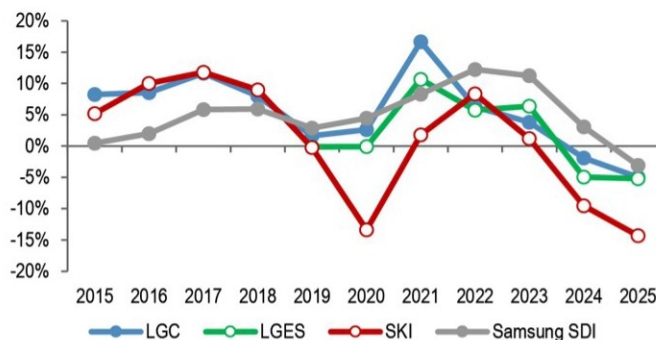
Source: J.P. Morgan estimates.

Figure 3: Sharp drop in SK Innovation capex as battery spend falls (Won tn)



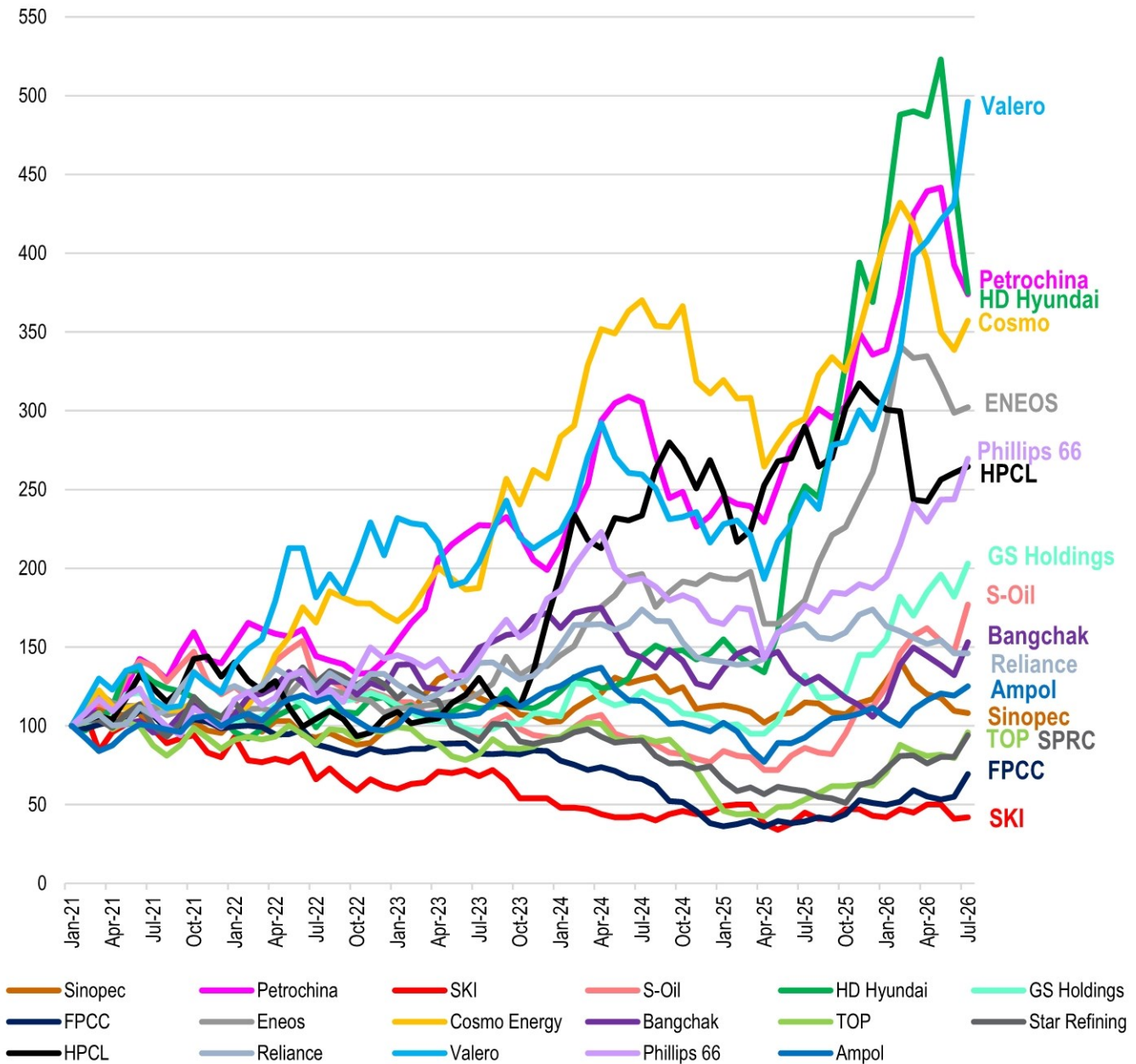
Source: Company data, J.P. Morgan estimates.

Figure 5: K-battery sector FY15-25 ROE trend



Source: Company data, J.P. Morgan estimates.

Figure 6: Global refiners' share price performance



Source: Bloomberg Finance L.P., J.P. Morgan Asia Energy.

Related research

[Korea Battery: LGES wins 2.9GWh Google ESS project; SK On wins 13% of Korea AI ESS tender](#) (17 July 2026)

[Korea Energy: 2Q likely to beat on lubricants, with W4.2trn refiner compensation fund a 4Q tailwind; retain OW, but change pecking order to SK Inno > S-Oil](#) (12 July 2026)

[Korea Battery: Share prices +10-26% on hopes of accelerated US AIDC infrastructure buildout; raise US ESS demand estimate by 52%](#) (29 June 2026)

[SK Innovation: The Power of Atoms – TerraPower Wyoming SMR site visit takeaways](#) (4 June 2026)

[SK Innovation: Battery overhang priced in; one of Asia's most undervalued integrated energy platforms; initiate at OW](#) (14 May 2026)

Investment Thesis, Valuation and Risks

SK Innovation (*Overweight; Price Target: W170,000*)

Investment Thesis

We are OW on SK Innovation. In our view, the market continues to be anchored on the 2023-25 narrative, dominated by battery-related losses, a deteriorating balance sheet/heavy capex burden, and a weak refining/chemical business. While these concerns are valid, we believe much of the downside is already reflected in valuations. Following SK Innovation's restructuring, we believe the company is no longer a Korean refiner with a cash-draining battery subsidiary, but increasingly an integrated Asia energy platform with a stabilized balance sheet, with 2027 capex falling >20% to the pre-2022 level.

Valuation

Our Jun-27 PT of W170,000 is based on a one-year forward P/B of 1x (peak cycle P/B), +1SD vs. the historical average to reflect SKI's improved ROE outlook (averaging 8% in 2026E-28E vs. the 2021-25 average of -2.5%).

Risks to Rating and Price Target

Downside risks include: (1) a delayed recovery in US/Europe battery utilization due to weak EV demand or select OEM customers' EV production cadence; (2) crude oil supply disruptions or more stringent domestic oil product price/export controls amid the Middle East conflict; and (3) a spike in LNG import costs due to supply disruptions or extreme weather.

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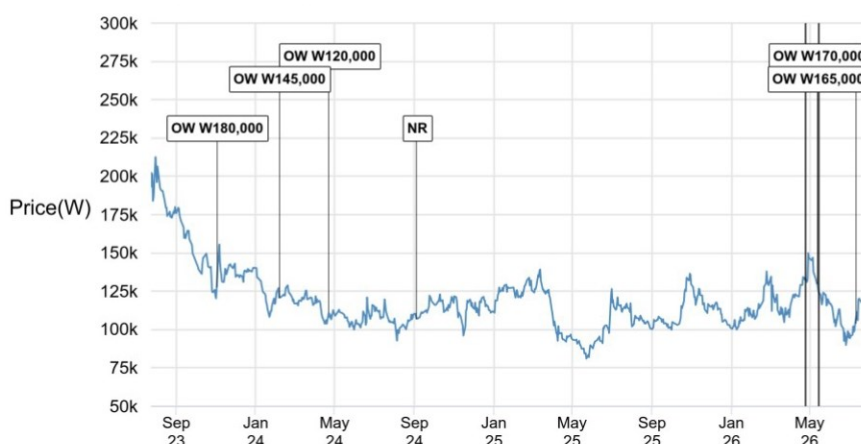
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SK Innovation (096770.KS, 096770 KS) Price Chart



Date	Rating	Price (W)	Price Target (W)
03-Nov-23	OW	127600	180,000
07-Feb-24	OW	120800	145,000
23-Apr-24	OW	110600	120,000
05-Sep-24	NR	107000	--
14-May-26	OW	129600	165,000
12-Jul-26	OW	103900	170,000

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
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